MERTON DAILY BRIEF - Thursday, June 4, 2026

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Headline of the Day

*Bitcoin crashes -13% in 24h (73,579 ? 64,000$) as oil explodes to 95$ (+3.5%) on Middle East tensions.** Broadcom loses over $300 billion in market cap after disappointing revenue forecasts, dragging tech stocks lower. Gold holds firm near all-time highs at 4,500$ while silver and copper correct. Asian currencies under extreme pressure: Korean won at 2009 lows, Indonesian rupiah in freefall.

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Global Sentiment

Indicator	Level	Change	Signal
VIX	16.06	+2.03%	? Neutral
DXY	99.45	+0.24%	? USD Bullish
Gold	4,497$	+0.48%	? Bullish
US 10Y	4.491%	+0.81%	? Neutral
US 30Y	4.99%	+0.10%	? Neutral
S&P 500	7,553.68	+0.44%	? Slightly bullish
NASDAQ	26,854	+0.67%	? Tech under pressure
WTI	95.36$	+3.47%	Geopolitical risk
Brent	97.04$	+2.17%	Geopolitical risk
BTC	64,009$	-13.01%	CRASH
Copper	6.45$	-1.21%	Corrective
Silver	73.46$	-2.07%	Corrective

* Read: **The market sends conflicting signals but the dominant message is clear:** selective risk-off**. Oil and gold rising together - classic geopolitical fear signal. Bitcoin collapsing -13% is a major liquidation event that could contaminate risk-on sentiment. US yields rising (10Y at 4.49%) despite a still-positive S&P suggests the bond market is pricing mild stagflation. VIX at 16 remains low in absolute terms but its +2% rise deserves attention. Copper and silver correcting despite firm gold - classic divergence when global growth is questioned.

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Macro - What Moved

United States

Broadcom AVGO loses +$300 billion in market cap on disappointing revenue forecasts, reigniting fears about AI trade sustainability. The stock drags the semiconductor sector lower and questions the valuation of "memory stocks" driving the Asian rally.

Fed Logan (Dallas) states the Fed may need to raise rates this year - a distinctly hawkish tone that surprises the market. Meanwhile, the Beige Book shows steady employment but rising inflation, confirming the Fed's dilemma.

Bessent (Treasury) uses inflation language that caused trouble for Yellen, signaling the Trump administration is starting to worry about price pressures, potentially linked to tariffs.

S&P 500 pulls back from recent high of 7,610 to 7,553 - technical correction of -0.7% from the peak, but the market remains in positive territory on the week. NASDAQ holds up better (+0.67%) despite the Broadcom shock.

SpaceX targets $1.8T valuation in IPO - a historic figure illustrating the outsized appetite for "new space" assets and mega-cap concentration.

Trump - Republican House deals blow on Iran war - fracture within the GOP. The "golden age of manufacturing" pledge shows signs of sputtering.

Duke Energy sees AI fueling power growth at 10x historic pace - a massive call on data center energy demand.

US housing market: sellers pulling homes at fastest pace since 2020 - signal of a frozen housing market.

Europe

Ukraine ratifies $105 billion EU loan - massive support reinforcing the European sovereign defense narrative. European defense stocks outperform.

European stocks slide overall but the defense sector rides the geopolitical momentum. Finland's president proposes EU expansion to 40 states, including Canada.

UK banking regulator places AI cyber risk at top of threat list - important regulatory signal for European financial sector.

China / Asia

Asia-Pacific markets fall on renewed Middle East tensions. China sanctions New Zealand lawmakers over Taiwan trip - diplomatic escalation.

Kim Jong Un tours new nuclear site, announces doubled production capacity - major provocation adding to satellite images suggesting a Xi visit to Pyongyang.

Satellite images fuel speculation of Xi visit to North Korea - would be a major geopolitical signal in the US-China rivalry context.

Declining Chinese oil imports "shield" global market from even higher prices (FT), suggesting Chinese demand remains subdued.

Panda bonds gain traction as investors seek diversified, stable yuan assets (AllianceBernstein).

United Kingdom

GBP/USD remains relatively stable at 1.343 despite the risk-off context. Market prices BoE status quo amid persistent inflation.

UK Big Four auditors stronger than ever as regulator eases restrictions - market concentration.

Emerging Markets

Korean won at 2009 lows - Korea pledges action to curb volatility. KOSPI supported by memory stocks (Goldman calls 12,000).

Indonesia rout deepens with Prabowo policy risks. Bank Indonesia receives new growth mandate and parliamentary oversight.

Philippines warns against forex speculation after peso slum. India earmarks $1B to shield airlines from fuel shock.

Argentina - dollar buying exceeds $10B goal on export boom, supporting Milei's program.

Singapore - record US-Singapore rate gap may widen further, attracting capital to the dollar.

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Geopolitics

Hot

Middle East: Renewed tensions send oil exploding to 95$+. US attempts to revive Iran talks continue amid conditional ceasefire. Israel and Lebanon agree to implement ceasefire - positive but fragile development.

North Korea: Kim Jong Un doubles nuclear production capacity and satellite images suggest a Xi Jinping visit to Pyongyang. Major escalation that could reshape the Asian balance of power.

Ukraine: Kyiv requests Patriot missiles from Germany to boost air defenses, while the $105B EU loan is ratified - massive European war effort.

Watch

Trump vs Republican House on Iran - internal GOP fracture could limit military options and weaken US negotiating position.

Taiwan: Japan and Philippines test Xi as Trump treads softly. China's sanctions on New Zealand show Beijing's sensitivity.

LinkedIn - Chinese espionage threat prompts warning from US and allies. Information warfare intensifies.

Russia: Putin turns Russia's AI future into a Kremlin family business - oligarchic capture of AI.

Positive

Israel-Lebanon: Ceasefire agreement - first step toward regional de-escalation, even if fragility remains the norm.

Argentina: Milei's economic program showing results with dollar buying exceeding targets thanks to exports.

Ukraine: Massive $105B European financial support - EU demonstrates capacity for collective action.

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FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1613	-0.33%	Weak
GBP/USD	1.343	-0.09%	? Stable
USD/JPY	159.84	+0.36%	? Intervention risk
USD/CHF	0.790	+0.85%	? Strong

* Analysis:** The US dollar is broadly firm (DXY 99.45) amid elevated rates and geopolitical risk. The euro suffers from relative European economic weakness and the rate differential. The yen remains fragile at 159.84 with BoJ intervention risk looming - the BoJ is reportedly considering a June rate hike, which could reverse the trend. The Swiss franc outperforms (+0.85) as a classic safe haven. Asian emerging currencies are under extreme pressure: Korean won, Philippine peso, Indonesian rupiah.

* Pair to watch:** `USD/JPY` - at 159.84, we are approaching levels that would likely trigger BoJ intervention. A June rate hike could catalyze a move toward 155-157. Risk is asymmetric: the yen carry trade remains attractive but intervention risk is real.

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Commodities

Oil

WTI at 95.36$ (+3.47%) and Brent at 97.04$ (+2.17%) - oil explodes on Middle East tensions. WTI gained +3.5% in one session, a violent move reflecting the geopolitical risk premium.

Nigeria considers refinancing high-cost debt thanks to the oil rally - African producers benefit.

India earmarks $1B to shield airlines from the fuel shock - impact on importing economies is immediate.

Declining Chinese imports act as a "shield" against even higher prices (FT).

Gold

Gold at 4,497$ (+0.48%) - firm near all-time highs, driven by safe-haven demand and geopolitical uncertainty. Gold benefits from the perfect cocktail: Middle East tensions, persistent US inflation, and a weakening Bitcoin (which diverts some "digital gold" demand to the physical metal).

Notable divergence: gold rises but silver and copper correct - the market clearly distinguishes "safe haven" from "growth proxy."

Silver & Copper

Silver at 73.46$ (-2.07%) - technical correction after the recent rally. Silver suffers from the metal's dual nature: not safe-haven enough to fully benefit from risk-off.

Copper at 6.45$ (-1.21%) - the correction reflects fears about Chinese growth. Copper is the bellwether of global industrial demand, and the signal is negative.

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Today's Calendar - Thursday, June 4, 2026

Time (CET)	Country	Event	Impact
14:30	US	Jobless Claims (weekly)	High
14:30	US	Trade Balance (April)	? Medium
16:00	US	ISM Services (May)	High
16:00	US	Factory Orders (April)	? Medium
16:30	US	EIA Crude Oil Inventories	High

Week Ahead (June 5-6)

Day	Event	Impact
Fri June 5	US NFP (May) - Consensus +180K	CRITICAL
Fri June 5	Unemployment Rate - Consensus	High
Fri June 5	ECB Rate Decision - Consensus	High
Fri June 5	ECB Press Conference Lagarde	High

* Friday is THE day of the week: NFP + ECB.** Consensus expects +180K jobs and a rate hold from the ECB. Any significant deviation could massively reposition rates and FX.

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Deep Macro Theme

*The great "soft landing" misunderstanding versus the reality of mild stagflation.**

The US equity market continues to climb - the S&P is at 7,553, near records - while the bond market sends a radically different signal: yields are rising (10Y at 4.49%, 30Y at 4.99%), the Beige Book confirms rising inflation, and a Fed regional president says rates may need to go up. This equity/bond divergence is the Gordian knot of 2026.

The scenario the market is pricing is a "soft landing" where inflation gradually returns to 2% without recession. But the data suggest **mild stagflation**: structurally higher inflation (fueled by Trump tariffs, deglobalization, and the energy transition) combined with slowly decelerating growth. Correcting copper, declining Chinese oil imports, and a freezing US housing market are all deceleration signals.

Bitcoin's -13% collapse adds another layer: "digital gold" no longer plays its hedge role, which could paradoxically benefit physical gold. The concentration of the equity rally in AI/mega-caps (Broadcom, Nvidia) creates systemic fragility - when the leader wobbles, the whole sector trembles.

The real risk is not a sharp recession but a **muddle-through**: an economy that doesn't grow enough to justify current valuations, with inflation that doesn't fall enough to allow the Fed to cut rates. It's the worst of both worlds for risky assets in the medium term.

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Consensus vs Reality - THE ALPHA

What the market is pricing:

1. **Fed holds then cuts rates in H2 2026** - Market prices about 2 cuts by December. Logan says otherwise. **Verdict: Risk of hawkish disappointment.**

2. **Inflation returns to 2.5-3%** - Beige Book says "rising inflation." Trump tariffs haven't fully taken effect. **Verdict: Too optimistic.**

3. **AI trade is sustainable and profitable** - Broadcom loses $300B in one session. Memory stock

valuations disconnected. **Verdict: Stock-picking imperative.**

4. **Oil stays contained below 100$** - WTI at 95$ with intensifying Middle East tensions. India earmarks $1B for airlines. **Verdict: Risk is asymmetric to the upside.**

5. **Bitcoin is a digital hedge** - -13% in 24h. "Digital gold" collapses while gold rises. **Verdict: Narrative broken short-term.**

6. **Asian emerging markets are stable** - Won at 2009 lows, Indonesia in rout, Philippines on forex alert. **Verdict: Contagion underway.**

The alpha:

1. **? Long Gold / Short Bitcoin** - Gold at 4,500$ playing its safe-haven role while BTC collapses. Target gold: 4,700$. Invalidation: BTC back above 70,000$.

2. **? Long Oil (WTI) - target 100-105$** - Middle East tensions are only beginning. Supply is constrained (OPEC+ disciplined), demand remains resilient, and the geopolitical premium will amplify. Call spread WTI 100/110.

3. **Short EUR/USD - target 1.1450** - Euro suffers from rate differential, European economic weakness, and hawkish dollar. ECB cannot afford hawkishness with subdued growth. Invalidation: 1.1750.

4. **? Long USD/JPY on weakness toward 158, target 162-163** - If the BoJ doesn't act in June, the carry trade resumes. Stop below 156.50 (probable intervention zone).

5. **Short Copper - target 6.00$** - Chinese growth slowing, oil imports declining, and copper lacks gold's geopolitical support. Copper is the "canary in the coal mine" for global growth.

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Merton's Take

*We are in a "mild stagflation" regime that the market refuses to acknowledge.**

The S&P 500 at 7,553 creates an illusion of normality, but beneath the surface, cracks are multiplying. Bitcoin losing 13% in a single day is not an isolated event - it's the signal that the easy liquidity fueling speculative assets is starting to withdraw. US yields are rising, the dollar is strong, and Asian emerging currencies are in open crisis.

The dominant driver this week is **oil**. At 95$, WTI is no longer a simple commodity - it's a geopolitical asset. Every dollar of oil price increase is a tax on global consumption and an inflation accelerator. India earmarking $1B for its airlines, Nigeria having to refinance its debt - the collateral damage is already here.

*My conviction: the market is underestimating the "higher for longer" risk.** The Fed will not cut rates this year. Logan is not isolated - other governors share this view. The Beige Book confirms it: inflation is accelerating. And the market prices 2 cuts. Someone is wrong, and it's not the Fed.

*Positioning:**
Long Gold (4,500$? 4,700-4,800$) - the only true hedge in this environment
Long Oil (WTI 95$? 100$+) - the geopolitical trade of the summer
Short EUR/USD (1.161 ? 1.145) - growth and rate differential work against the euro
Short Copper (6.45$? 6.00$) - Chinese growth disappoints
Avoid BTC until it stabilizes below 65,000$ - the narrative is broken
Overweight defensives (utilities, healthcare, staples) in equity portfolios

Trade of the week: **Long Oil / Short Copper.** Energy benefits from geopolitical risk, copper suffers from soft growth. It's the ultimate "geopolitical premium vs growth reality" trade.

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Sources consulted: Yahoo Finance API (real-time prices), Bloomberg RSS Markets, Bloomberg RSS Economics, Bloomberg RSS Politics, FT RSS Home, FT RSS Markets, CNBC World, CNBC Markets*

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